

AMPHENOL CORPORATION

(NYSE: APH)

AI's Indispensable Plumber — at a Price That Leaves No Room for Friction

REDUCE — \$78.00 Target

Equity Research Note · Electronic Components — Connectivity Solutions · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$78.00	\$86.96	-10.3%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$224 bn (2.58 bn sh × \$86.96)	Book-to-bill	~1.41x (orders \$12.0B vs sales \$8.5B)
Net debt	~\$8.5 bn (~0.9x leverage, post-CommScope)	FY2026E guide	Revenue \$29.1 bn (+26%); FCF margin 13.5%
52-week range	~\$58.67 – \$89.26	AI interconnect ramp	1.6T optical (2027); 6.4T copper (2028)
Q1 FY27 revenue / growth	\$8.5 bn / +39% YoY (June 2026)	Next catalyst	Q2 FY27 results; AI order-book linearity
IT datacom (AI)	\$6.1 bn (+66% YoY); ~70% of mix on FY26E path		

1 Investment Thesis

Amphenol is the indispensable plumber of the AI build-out, and the stock is priced as though indispensability were the same as pricing power without limit. It is not. The company's high-density, high-speed interconnect — the copper and optical nervous system inside every AI rack — is genuinely world-class, and the numbers prove it: IT datacom revenue of \$6.1 billion in Q1 FY27, up 66% year over year, with orders of \$12.0 billion against \$8.5 billion of sales, a 1.41x book-to-bill that is the strongest demand signal in the company's history. When hyperscalers cannot ship AI capacity without Amphenol connectors, the next two years are contracted. That is why our FY2026–27 assumptions track the demand signal, not a haircut of it.

But this note is a REDUCE, and the reason is arithmetic, not narrative. At \$86.96 the stock is priced for the AI supercycle to compound at roughly our bull-case pace — IT datacom growing at a 30%+ compounded rate through the decade while legacy automotive and industrial demand merely holds — with no allowance for the cyclicalities that has defined this industry for forty years. Our scenarios are \$10 / \$66 / \$171, weighted to a \$78 target, 10.3% below the quote. The base case (\$65.56) is already generous: 11.1% revenue CAGR for a decade, free-cash-flow margins gliding to 15.5%, a 9.0% discount rate that credits the franchise's through-cycle resilience. Even that generous path is worth less than the current price.

The bear case (\$10.36) deserves a hearing because it is how connector cycles actually end. Amphenol's history is a series of sharp AI/data-center-adjacent ramps followed by inventory corrections — and the current cycle has every marker of a pre-build: book-to-bill at 1.41x, customers double-ordering against 2027–28 capacity, and IT datacom at 70% of the revenue mix, up from 43% just a year ago. When the hyperscaler capex wave crests — and it will, because no build-out in history has compounded at 30%+ indefinitely — the correction runs through the suppliers first. Bear assumes revenue falls ~20% in 2028–29 as the order book normalizes, FCF margins compress to 13.5%, and the multiple derates to a cyclical trough. That is not a prediction; it is the base rate for this industry.

Our forward judgment: Amphenol will be a larger, more AI-centric, and structurally better business in five years — the 1.6T optical and 6.4T copper transitions extend the technology lead, and the CommScope acquisition diversifies the mix. But the stock at \$86.96 is not pricing the business; it is pricing the cycle at its peak and calling it permanent. REDUCE: take profits into the strength, and revisit when the inevitable digestion arrives.

Why the demand is contracted — and why the price still fails

- **The order book is the thesis.** Q1 FY27: orders \$12.0B vs sales \$8.5B (1.41x book-to-bill), IT datacom \$6.1B (+66%). Customers are committing capital against 2027–28 capacity; the FY2026 guide (\$29.1B, +26%) is covered by contracted demand, not hope.
- **The technology roadmap extends the lead.** 1.6T optical interconnect in 2027 and 6.4T copper in 2028 keep Amphenol ahead of the bandwidth curve that AI racks demand — the moat is engineering cadence, not patents alone.
- **But 70% mix concentration is a cycle amplifier.** IT datacom went from 43% of revenue to ~70% in one year. When the cycle turns, the same mix that drove the re-rating drives the de-rating.
- **The price requires the bull case.** Our base case grants an 11.1% revenue CAGR for a decade and is worth \$65.56. The market at \$86.96 is paying roughly halfway between our base and our bull (\$170.70).

2 Business Overview — What Amphenol Corporation Is Doing

(Wallingford, Connecticut; CEO Adam Norwitt)

Amphenol (founded 1932) is the world's largest manufacturer of interconnect products — connectors, cable assemblies, sensors, and antennas — selling into IT datacom, automotive, industrial, mobile devices, and defense. The business model is decentralized entrepreneurship: dozens of operating units run with unusual autonomy, acquisitions are integrated aggressively, and capital allocation has been among the best in industrials for two decades. Fiscal 2025 produced revenue of \$23.09 billion with free cash flow of \$4.38 billion — a 19.0% FCF margin that is the envy of the sector.

The IT datacom segment — high-speed interconnect for data centers, and therefore for AI — is now the company. From 43% of revenue in FY2025, it is on a path to roughly 70% of the FY2026 mix, growing 66% year over year in Q1 FY27. Amphenol's high-density copper and optical interconnect is the standard inside hyperscale AI racks; the 1.6T optical generation (2027) and 6.4T copper (2028) extend a lead that competitors chase but have not closed. The CommScope acquisition (closed 2025) added broadband and outdoor wireless exposure, diversifying the non-AI base.

The forward picture is a two-speed company: an AI interconnect business growing at 30%+ compounded rates with expanding margins, stapled to a legacy industrial/automotive connector business growing low-single-digits at best. The mix shift is margin-accretive — IT datacom carries the best margins in the portfolio — which is why consolidated FCF margins glide from ~14% toward 15.5% in our base case even as the legacy businesses tread water. The risk is that the mix shift is also cycle-amplifying: at 70% of revenue, IT datacom's cyclicity is Amphenol's cyclicity.

What the company is doing now

- **IT datacom: the AI standard.** \$6.1B in Q1 FY27 (+66% YoY); the interconnect inside hyperscale AI racks. 1.6T optical (2027) and 6.4T copper (2028) extend the bandwidth lead.
- **CommScope acquisition.** Broadband and outdoor wireless exposure diversifies the non-AI base; integration is the near-term execution watch item.
- **Decentralized operating model.** Dozens of autonomous units with aggressive acquisition integration — the cultural engine behind two decades of best-in-class capital allocation.
- **Legacy segments: ballast, not growth.** Automotive, industrial, and mobile-device interconnect grow low-single-digits at best; their role is cash generation, not expansion.

3 Financial Analysis

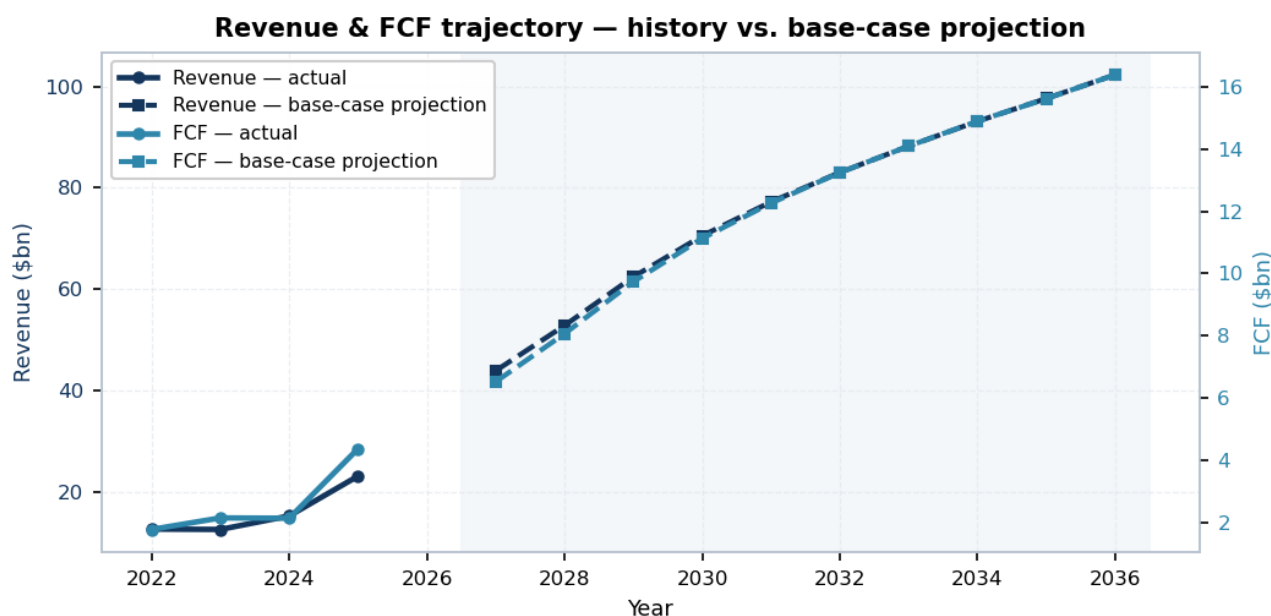
\$ bn	FY2022	FY2023	FY2024	FY2025
Revenue	12.62	12.55	15.22	23.09
YoY growth	—	–1%	+21%	+52%
IT datacom mix	—	—	~38%	~43%
Free cash flow	1.79	2.16	2.15	4.38
FCF margin	14.2%	17.2%	14.1%	19.0%
Q1 FY27 (Jun 2026)	Revenue \$8.5B (+39%)	IT datacom \$6.1B (+66%)	Orders \$12.0B	B2B 1.41x

Sources: company releases; annuals via yfinance. FY2026E guide: revenue \$29.1B (+26%), FCF margin 13.5%.

Cash generation is elite: FY2025 free cash flow of \$4.38 billion on \$23.09 billion of revenue — a 19.0% margin — and the model has FY2026E FCF margins at 13.5% (diluted by CommScope integration and working-capital absorption in the ramp) before gliding to 15.5% in the base case. Revenue history shows the cycle plainly: \$12.62B (2022), \$12.55B (2023, flat), \$15.22B (2024, +21%), \$23.09B (2025, +52%) — the AI ramp is visible as a step-change, and step-changes in connectors have always been followed by digestion.

The balance sheet absorbed CommScope without strain: net debt of roughly \$8.5 billion is about 0.9x leverage — comfortable for a business with this cash conversion. The share count of ~2.58 billion (post-split) means the \$78 target implies roughly \$201 billion of equity value against our base-case EV of \$182.4 billion. Capital allocation remains the quiet strength: the acquisition program has compounded per-share value for two decades, and the dividend grows steadily.

Revenue & cash-flow trajectory



History: company filings via yfinance. Projection: base-case series from the scenario DCF (FY2026E anchor \$29.1B revenue; 11.1% 10-yr CAGR; FCF margin gliding to 15.5%).

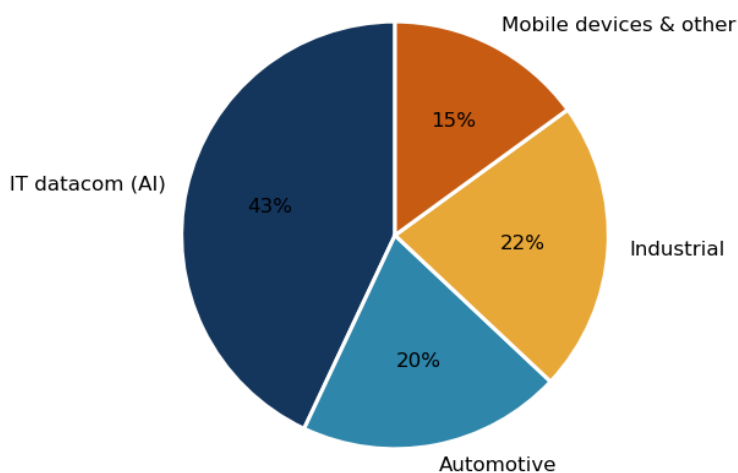
4 Moat & Competition

- **Engineering cadence at the bandwidth frontier.** 1.6T optical (2027) and 6.4T copper (2028) keep Amphenol one generation ahead of the AI rack's bandwidth demands — the moat is the roadmap, executed.
- **Design-in lock-in.** Interconnect is designed into customer platforms years ahead of production; qualification cycles are long and switching costs are real once a standard is set.

- **The decentralized acquisition machine.** Two decades of best-in-class capital allocation — buying niche interconnect leaders and integrating them into the autonomous-unit model — compounds per-share value through cycles.
- **The moat's limit is the cycle.** No engineering lead prevents an inventory correction: when hyperscalers pause, orders stop regardless of technology position, and 70% mix concentration amplifies the hit.

FY2025 revenue mix — IT datacom vs. rest

FY2025 revenue mix — IT datacom vs. rest



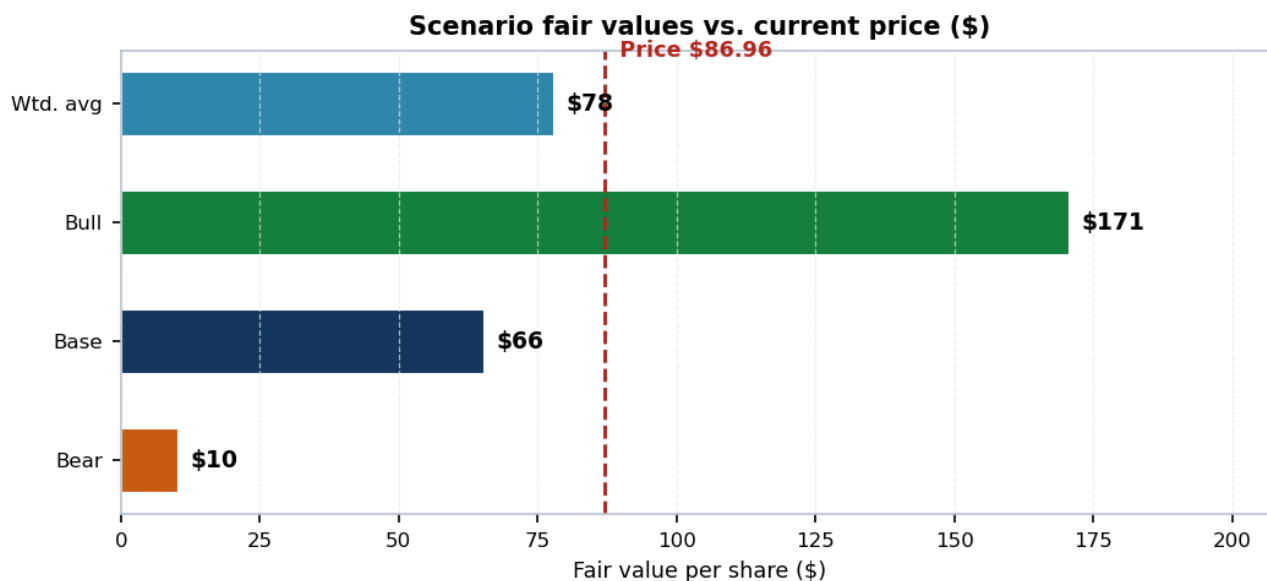
5 Valuation — 10-year scenario DCF (FY2027–FY2036), Fair Value \$78

We value Amphenol on a 10-year explicit DCF of free cash flow (FY2027–FY2036), weights bear 25% / base 50% / bull 25%. Scenario discounts: base 9.0% (franchise resilience through cycles, customer concentration, cyclicity), bear 11.5% (base + 250bp), bull 8.0% (base – 100bp). Terminal growth 1.5% / 2.5% / 2.5% on year-10 FCF at the scenario's terminal margin (13.5% / 15.5% / 17%) — through-cycle levels, never peaks. Revenue CAGRs: bear 1.2% (with a 2028–29 correction), base 11.1%, bull 19.2%. Equity = firm EV – ~\$8.5B net debt, over ~2.58B shares. Terminal value is 39–70% of EV across scenarios — within discipline, no haircut required.

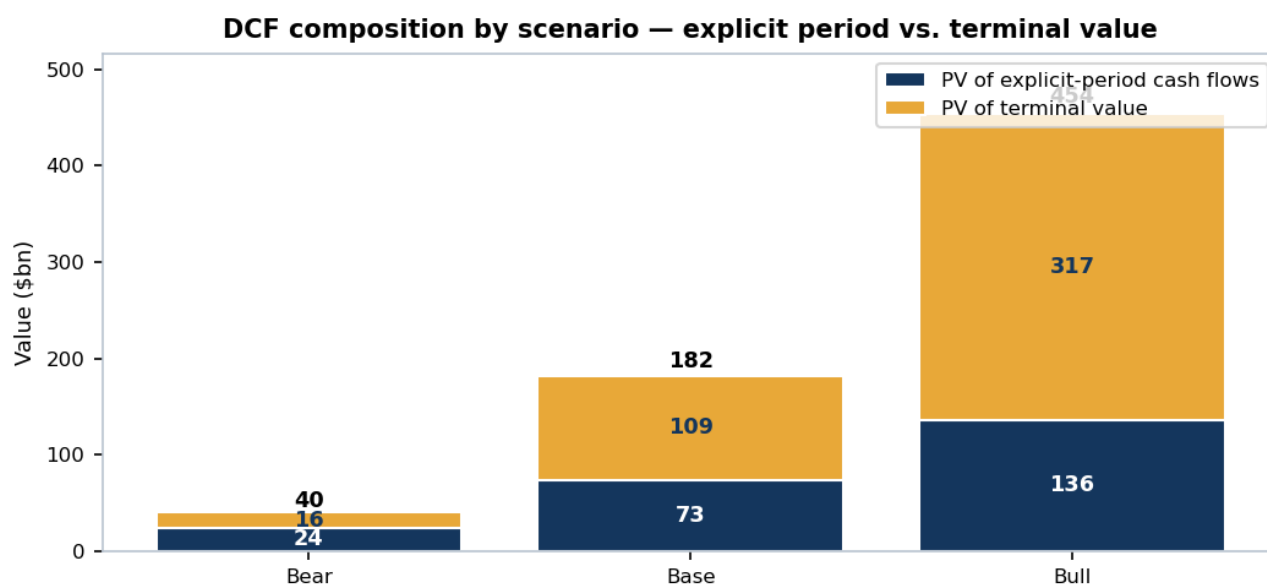
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	The AI order book normalizes: revenue falls ~20% across 2028–29 as customers work through double-ordered inventory; FCF margins compress to 13.5%; the multiple derates to a cyclical trough	+1.2%	13.5%	11.5% / 1.5%	39%	\$10.36
Base	Amphenol navigates the cycle with unusual grace: 11.1% revenue CAGR, no down year worse than flat; IT datacom compounds on the 1.6T/6.4T transitions; FCF margins glide to 15.5%	+11.1%	15.5%	9.0% / 2.5%	60%	\$65.56
Bull	The AI cycle does not correct: 19.2% revenue CAGR for a decade; IT datacom compounds indefinitely on successive bandwidth generations; 17% terminal FCF margins	+19.2%	17%	8.0% / 2.5%	70%	\$170.70
Wtd. avg	Probability-weighted (25/50/25) → \$78.00 target					\$78.00

$0.25 \times \$10.36 + 0.50 \times \$65.56 + 0.25 \times \$170.70 = \$78.05 \rightarrow \$78 \text{ target}$. Bear meets all hurt conditions (revenue decline years, margin compression, 25%+ derating).

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Inventory correction (the #1 risk).** 1.41x book-to-bill and 70% AI mix are classic pre-build markers; when hyperscalers pause, supplier orders stop first and hardest.
- **Customer concentration.** A handful of hyperscalers and their ODMs drive the IT datacom wave; design losses or in-sourcing at any one of them is material.
- **Mix concentration amplifies the cycle.** IT datacom at ~70% of revenue means Amphenol's cyclicity is now the AI cycle's cyclicity.
- **Legacy segment drag.** Automotive and industrial connector demand is soft; a deeper industrial recession would pressure the non-AI base.

- **Integration risk.** CommScope is the largest acquisition in company history; synergy delivery is the near-term execution watch item.
- **Valuation.** At \$86.96 the stock prices roughly the bull case — any disappointment in the order book reprices sharply toward the base (\$65.56).

What would change our mind

The base case's order-book assumption would be withdrawn if book-to-bill falls below 1.0 for two consecutive quarters or if IT datacom revenue declines sequentially — at that point the bear case (\$10.36) becomes the working assumption and the REDUCE hardens. Conversely, if orders re-accelerate into 2027 with book-to-bill holding above 1.3x, the wave is bigger than the current book and we would revisit toward the bull. Watch Q2 FY27: order linearity and any commentary on customer inventory are the numbers that matter.

7 Methodology

We value the business on a 10-year explicit DCF of free cash flow (bear 25% / base 50% / bull 25%). Revenue follows the scenario path (bear 1.2% / base 11.1% / bull 19.2% 10-year CAGR, including a 2028–29 correction in the bear case); free-cash-flow margin glides to the scenario's terminal margin (13.5% / 15.5% / 17%) over the horizon. Discount rates: base 9.0%, bear +250bp (11.5%), bull –100bp (8.0%). Terminal growth (1.5% / 2.5% / 2.5%) applies to year-10 FCF at the scenario's terminal margin. Equity = firm EV – net debt; divided by diluted shares. Bear cases must be genuinely adverse and sit below the current price. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine business-model volatility, the balance sheet, and the valuation. This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.

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